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Why Efficiency Is Necessary: State Companies, Public Spending and Social Security

In today's world, shaped by the rapid advancements of AI and automation and high technology, it becomes even more imperative that every dollar the government spends directly benefits the people. Efficiency in public administration is a cornerstone of a thriving social security system and wide prosperity.

A country needs a government that works with laser-like precision, where bureaucracy is minimized, and resources are channeled towards initiatives that genuinely enhance the lives of citizens.

The advent of AI, Automation and High Technology is poised to usher in an era of unprecedented productivity, this impending shift underscores the critical need for robust social security systems. Programs like the Subsidized Jobs program need capital and performance focused incentives devised by the government to ensure that the program is sustainable, free of corruption and benefits the people according to non discriminatory metrics like income, and unemployment period.

State Companies and Public Programs

- *Statized Agricultural Companies:* The creation of government-owned farming enterprises can address food security concerns while generating revenue and employment opportunities. The Stellarium Foundation highlights the inherent advantages of this approach: governments often have access to large tracts of land, and farming is a relatively simple and well-established industry.

- *Technology Center for Productivity, Innovation, and Science*: The establishment of a specialized institution focused on optimizing basic industries through cutting-edge science and technology can enhance efficiency across various sectors, including agriculture, energy, and manufacturing.
- *Enterprise Housing Pledge*: This innovative program, championed by the Stellarium Foundation, encourages public and private entities to pledge assets as collateral for housing construction loans. This approach can help address housing affordability crises by leveraging private capitalization and minimizing bureaucratic hurdles.
- *Subsidized Jobs Creation*: An innovative and very necessary program where companies apply and the government subsidizes employment on companies, it provides social security while also maintaining economic utility.
- *State Companies on Essential Activities*: State Companies in sectors such as natural resources, food production, construction, energy, etc.... in sectors and industries where the activity is essential, relatively simple and the government has advantages such as lower interest and access to resources.

For these companies and programs to be possible, sustainable and successful, it is of primordial importance that both state companies and public administration work with exceptional efficiency. Public administration inefficiency is a theft of society, and state companies run inefficiently is theft from the government.

Efficiency Can Be Achieved

- *Streamlined Bureaucracy*: Minimizing red tape and unnecessary administrative processes allows for agile decision-making and resource allocation.
- *Embracing High Technology*: Integrating AI, automation and high technology into operational workflows can significantly enhance productivity, reduce costs, and improve service delivery, this would mean an overhaul on how technological advances are applied to public administration. Innovative measures that decrease bureaucracy and increase efficiency needs to have a place and a way of being implemented into processes.

- *Performance-Based Metrics*: Establishing clear performance indicators and holding management accountable for achieving those targets ensures that state companies are operating effectively and contributing to national prosperity.
- *Transparency and Accountability*: Implementing transparent accounting practices and mechanisms for public oversight are essential for maintaining public trust and ensuring that state-run companies are operating in the best interests of the people.
- *Incentive Engineering*: All companies incentive structure needs to be engineered to be optimized for efficiency and productivity.

How to Optimize State Companies For Efficiency:

What happens in some countries is that state company employees are also considered government employees, this is a grave mistake that could put the mission in jeopardy. State company employees are employees of a business in which the government is the majority shareholder.

Since state run companies may not have a stock price and some state company's purpose is to be sustainable not necessarily profitable, it is not so simple to quantify success at a board level, as it is with market capitalization in public companies. Pertinent metrics are shareholder value (Assets - Liabilities) and even better metrics, are metrics inherent to the business. e.g. In an energy company it could mean cost of electricity production, accounting for level of interruptions, level of service. In an agricultural company it could be the overall cost of farmed crops by ton, overall cost of poultry production by weight, etc...

These are better metrics because since state companies, especially those in basic activities, don't have to be profitable necessarily (yet they do need to be sustainable) accounting for benchmarks inherent to the activity is beneficial.

What state companies should do is devise even mathematical and tangible metrics to engineer their incentives and measure the performance of management and employees and the company as a whole. Something like a set of practices and benchmarks to evaluate business performance.

How would management of a state energy company be evaluated:

Electricity Division:

$(\text{Revenues} / \text{All Costs}) * (\text{Shareholders Equity} / \text{Liabilities}) * 1/\text{Overall cost per kWh}$

Petrol Division:

$(\text{Revenues} / \text{All Costs}) * (\text{Shareholders Equity} / \text{Liabilities}) * (\text{Petrol in Inventory} - \text{Petrol Sold} / \text{Petrol in Inventory}) * 1/\text{Overall cost per Barrel}$

Management Benchmarks would be evaluated through these sets of equations for how they are handling the company, since state companies, specially in essential sectors have different dynamics and metrics this is necessary.

These benchmarks would serve as the basis for management compensation. So the salary of management personnel would be just “Benchmark * Employee Job Constant”

Having the compensation of management tied to specific benchmarks that maximize efficiency and value in the industry would do a lot to gear the incentives of management towards policies that maximize performance. Note that these benchmark equations can and should be studied and suited for each specific application.

Some state companies are not efficient because of lack of incorporating industry innovation, technologies and an overhaul of its processes with technology that could make the company more efficient are not implemented because of bureaucracy, and also because of the reasons above, benchmarks tied to the payment structure would do a lot to curb that. Yet in any other cases there must be a lot of attention that technological solutions can be easily implemented in state companies.

Something that all state companies should have is transparent accounting, that is when all the money spent and financial statements by the state company is accounted for, and being available on a government website.

Excerpt

Efficiency in public administration is essential, and a mandate for continuous improvement have to be implemented, we have come around a long way as humanity, and it depends on administration to have a wisdom and intelligence attitude towards public administration, funding social security and other national endeavours are good and necessary, but for this kinds of programs to flourish we need a selfless, wise and strong attitude towards efficient spending, less bureaucracy, and policies that are engineered towards people's welfare. Populism shouldn't be the basis for policy but real sustainable and smart solutions. I have the solutions, I have given the solutions, so help me implement it.

Go therefore and implement these principles, approach policy as having an engineering component, propose and implement solutions, lobby your representatives, support the Stellarium Foundation, make peace, work for the good of people, stand up for people, be smart, be wealthy, have fun, do good and shine.

JOHN VICTOR

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